serial numbers on the cheques, and the mobile number registered with the account. Police say the employee's computer records are being scrutinised for evidence.

Once the account details had been accessed, Jagjot Singh stepped in. First, he allegedly created a cloned cheque book and then procured a new SIM card for the registered mobile number using a fake Aadhaar card of Bidhan Chandra Rai, the custodian of the MPLADS account. Rai says the SIM card of the mobile number had got deactivated around the time of the fraudulent transaction.

"Usually in such frauds, after obtaining a new SIM card, fraudsters place a number porting request so that the holder of the mobile number registered with the bank account is unable to access the number. The porting takes a few days, which is when the fraud takes place," says a Bihar police officer involved in the MPLADS case probe. The fake cheques are invariably presented for clearance at the bank's branches in other states. SMSes regarding withdrawals never reach the account holder because the fraudsters have switched the mobile service provider.

## GOVERNMENT ACCOUNTS ARE PRIME TARGETS

Investigators say most cheque frauds are related to bank accounts of government institutions, such as schools, colleges, departments and societies, since their account statements are unlikely to be checked regularly. Also, such accounts are flush with funds and can net big sums if the fraudsters succeed in their modus operandi.

Take for instance the Rs 32 crore fraud in the Bihar revenue department's account with Kotak Mahindra Bank in Patna. The fraud was unearthed by the bank's officials when a person, Subham Kumar Gupta, reached the branch on Exhibition Road on January 2, 2021 to withdraw/ transfer Rs 11.73 crore, using a forged letterhead of the National Highways Authority of India (NHAI) and a counterfeit Aadhaar card of Patna district land acquisition officer (DLAO) Pankaj Patel. Suspicious bank officials called the police and Gupta was arrested. The bank checked its records and found that Rs 32 crore had already been swindled from the account in 2020. These funds belonged to the NHAI and were parked in Patel's account for acquiring land for government projects. The fraud had gone undetected for weeks until Gupta's arrest.

In a letter dated August 3, Kotak Mahindra Bank senior vice-president (legal) Rajarshi Chatterjee wrote to the Bihar police EOW, mentioning how the bank had conducted an internal investigation after Gupta's arrest and discovered the defrauding of Rs 31.92 crore between November 4 and December 15 in 2020. Investigations by the bank and EOW pointed to branch manager Sumit Kumar as the alleged mastermind. While he was arrested in January 2021, his wife Nita Singh, one of the alleged beneficiaries of the fraudulent transactions, is absconding.

The bank's investigation revealed that Nita Singh's account had been credited with Rs 9 crore since July 2019—when it was opened by Sumit Kumar in his capacity as branch manager—and that the transactions appeared to be of the nature of money-laundering. While Kotak Mahindra Bank's head office had sent an anti-money laundering alert in September-October 2019 regarding Nita Singh's account, EOW officials say the bank failed to spot that Sumit's personal email ID was also the email ID registered in her account. The same email ID had been used to send Rai's forged Aadhaar card of DLAO Patel, the authorised signatory of the account.

**To prevent cheque frauds, the RBI introduced the Positive Pay System, which requires banks to reconfirm key details of big-value cheques with account holders**

## CHECKS AND BALANCES

To safeguard against cheque frauds, the RBI had in 2020 introduced the Positive Pay System, which required banks to reconfirm key details of big-value cheques (Rs 50,000 and above) with account holders. While the positive pay mechanism is optional for account holders, banks may consider making it mandatory for cheques of value Rs 5 lakh and more, says the RBI. Under the Positive Pay mechanism, customers provide the key details of the cheque, such as their account number, cheque number and date, cheque amount and beneficiary name, to the drawee bank. The details can be submitted electronically. The cheque truncation system verifies the details before allowing clearance of the cheque. Any discrepancy between the details of the cheque provided and the cheque presented for clearance gets flagged to both the drawee and presenting banks.

Notwithstanding such measures, bank frauds continue with impunity. In most cases, the swindled funds are not recovered. Since the frauds involve multiple executioners, the end beneficiaries invariably never come under the radar. Mostly, it's the banks that end up compensating for the lost funds and the government departments too do not push for a deeper investigation. The police's record of taking such cases to finality and securing convictions is poor too. Fraudsters will be emboldened by the 2020 National Crime Records Bureau (NCRB) report, which found 440,000 cases to forgery, cheating and fraud pending before the courts. ■